

this up. By the time I thought of it, people had forgotten about the trade deficit and had started to worry about the next trade surplus.

Why does the emperor of Wall Street always have to have no clothes? We're so anxious to catch that act that every time he parades around in full regalia we think we're seeing a nude.

I've been hearing that investors ought to be delighted when companies in which they've invested are bought out by corporate raiders, or taken private by management, sometimes doubling the stock price overnight.

When a raider comes in to buy out a solid and prosperous enterprise, it's the shareholders who get robbed. Maybe it looks like a good deal to the shareholders today, but they're giving away their stake in the future growth. Investors were only too happy to tender their shares in Taco Bell when Pepsi-Cola bought in the shares for \$40 apiece. But this fast grower continued to grow fast, and on the strength of the earnings an independent Taco Bell might be worth \$150 a share by now. Let's say a depressed company is on its way back up from \$10, and some deep pocket offers to take it private for \$20. It seems terrific when it happens. But the rest of the rise to \$100 is cut off to all but the private entrepreneur.

More than a few potential tenbaggers have been taken out of play by recent mergers and acquisitions.

I've been hearing that we're rapidly becoming a nation of useless debt-mongering, cappuccino-drinking, vacation-taking, croissant-eaters. Sadly, it's true that America has one of the lowest savings rates in the developed world. Part of the blame goes to the government, which continues to punish savings by taxing capital gains and dividends, while rewarding debt with tax deductions on interest payments. The Individual Retirement Account was one of the most beneficial inventions of the last decade—finally Americans were encouraged to save something free of tax—so what does the government do? It cancels the deduction for all but the modest wage earner.

Frequent follies notwithstanding, I continue to be optimistic about America, Americans, and investing in general. When you invest in stocks, you have to have a basic faith in human nature, in capitalism, in the country at large, and in future prosperity in general. So far, nothing's been strong enough to shake me out of it.

I'm told that the Japanese started out making little party favors and paper umbrellas to decorate Hawaiian cocktails, while we started out making cars and TVs; and now they make the cars and the TVs, and we make the party favors and the little umbrellas to decorate Hawaiian cocktails. If so, there's got to be a fast-growing company that makes party favors somewhere in the U.S. that ought to be looked into. It could be the next Stop & Shop.